

25TRCV03872 25TRCV03872

County: los-angeles

Division: Civil Law and Motion

Department: 5

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Case Number: 25TRCV03872 Hearing Date: June 24, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

regal Inc, inc.

;

Plaintiff,

vs.

loan funder llc

;

Defendant.

Case

No.:

25TRCV03872

Hearing

Date:

March

24, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1)

DEFENDANT LOAN FUNDER LLC'S DEMURRER TO

PLAINTIFF REGAL LNC, LLC'S FIRST AMENDED COMPLAINT

(2)

DEFENDANT LOAN FUNDER LLC'S MOTION TO STRIKE

PLAINTIFF REGAL LNC, INC.'S FIRST AMENDED COMPLAINT, OR IN THE ALTERNATIVE,

STRIKE THEREOF

MOVING PARTY: Defendant, Loan Funder LLC

RESPONDING PARTY: Plaintiff, Regal LNC, Inc.

(1)

Defendant

Loan Funder LLC's Demurrer to Plaintiff Regal LNC, Inc.'s First Amended

Complaint is OVERRULED pursuant to title 11 of the United States Code section 362, subdivision (a).

(2)

Defendant

Loan Funder LLC's Motion to Strike Plaintiff Regal LNC, Inc.'s First Amended

Complaint, or in the Alternative, Strike Thereof is DENIED pursuant to title 11

of the United States Code section 362, subdivision (a).

The Court considers the moving

papers filed on April 13, 2026, the opposition briefs filed on June 10, 2026,

and the reply briefs filed on June 15, 2026.

BACKGROUND

Factual Background

On November 12, 2025,

plaintiff Regal LNC, Inc. ("Regal") filed the Complaint against defendants Loan

Funder LLC ("Funder") and DOES 1 through 50.

On January 15, 2026, cross-complainant

Funder filed the Cross-Complaint against cross-defendants Janice Jimenez and

ROES 1 through 50. The Cross-Complaint

includes the following causes of action: (1) Breach of Guaranty; (2) Goods Sold

and Delivered; (3) Book Account; and (4) Account Stated.

On March 13, 2026, Regal filed the First Amended Complaint (“FAC”)

against Funder and DOES 1 through 50.

The FAC includes the following causes of action: (1) Breach of Contract; (2) Declaratory Relief;

and (3) Unfair Business Practices – Violation of Business & Professions

Code § 17200, et seq.

On April 7, 2026, the Court

granted Plaintiff’s counsel’s motion to be relieved as counsel. (April 7, 2026 Minute Order, p. 1.) Subsequently, on May 28, 2026, Plaintiff retained

new legal counsel. (Substitution of

Attorney, ¶ 2.)

LEGAL STANDARDS

Demurrer

A demurrer can be used only to

challenge defects that appear on the face of the pleading under attack or from

matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311,

318.) “To survive a demurrer, the

complaint need only allege facts sufficient to state a cause of action; each

evidentiary fact that might eventually form part of the plaintiff’s proof need

not be alleged.” (C.A. v. William S.

Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of

the cause of action, the demurrer admits the truth of all material facts

properly pleaded. (Aubry v. Tri-City

Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions,

deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67

Cal.2d 695, 713.)

A pleading is uncertain if it

is ambiguous or unintelligible. (Code

Civ. Proc., § 430.10, subd. (f).) A

demurrer for uncertainty may lie if the failure to label the parties and claims

renders the complaint so confusing that the defendant cannot tell what he or

she is supposed to respond to. (Williams

v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is

strictly construed, even where a complaint is in some respects uncertain,

because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc.

(1993) 14 Cal.App.4th 612, 616.)

Motion to Strike

Any party, within the time

allowed to respond to a pleading, may serve and file a notice of motion to

strike the whole or any part thereof. (Code

Civ. Proc., § 435, subd. (b)(1).) The court may, upon a motion, or at any time

in its discretion, and upon terms it deems proper, strike any irrelevant,

false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a); Stafford

v. Shultz (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not

essential to the claim is surplusage; probative facts are surplusage and may be

stricken out or disregarded”].) The

court may also strike all or any part of any pleading not drawn or filed in

conformity with California law, a court rule, or an order of the

court. (Code Civ. Proc., § 436,

subd. (b), emphasis added.) An

immaterial or irrelevant allegation is one that is not essential to the

statement of a claim or defense; is neither pertinent to nor supported by an

otherwise sufficient claim or defense; or a demand for judgment requesting

relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear

on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

DISCUSSION

Funder demurs to the entirety

of Regal's FAC for the following reasons: (1) each cause of action fails to state

facts sufficient to constitute a cause of action; and (2) the FAC is uncertain,

ambiguous, and unintelligible, as it contains no specific allegations of fact

against Funder. (Notice of Dem., pp.

2:9-3:3.) Furthermore, Funder seeks to

strike the entire FAC on account of Regal's status as an unrepresented corporation, or, alternatively, to dismiss any claims for attorney's fees and damages pertaining to emotional distress.

(Notice of MTS, pp. 1:24-2:7.) However,

the Court lacks jurisdiction to sustain or grant this demurrer or motion to strike due to the automatic stay.

"With some exceptions, all

proceedings against the debtor and the debtor's property are stayed during the pendency of the bankruptcy. (11 U.S.C. §

362(a)(1) & (2).) The automatic stay

is self-executing and is effective upon filing the bankruptcy petition. (See 11

U.S.C. § 362(a).) Any action, including

any judicial proceeding, taken in violation of the automatic stay is void. (In re Gruntz (9th Cir.2000) 202 F.3d

1074, 1082.)" (In re Marriage of

Sprague & Spiegel-Sprague (2003) 105 Cal.App.4th 215, 219.)

Here, Funder filed a notice of

stay of proceedings on June 18, 2026, which informed the Court that an

automatic stay is in effect due to a filing with the United States Bankruptcy

Court for the Central District of California.

(Notice of Stay, Exh. A.) In this

notice, Funder also requested “that all proceedings in this action be stayed

pending further order of the Bankruptcy Court or until the automatic stay is

lifted or otherwise terminated.” (Notice

of Stay, p. 2:3-5.) Given that

sustaining the demurrer or granting the motion to strike would be rendered void

in light of this automatic stay, the demurrer is OVERRULED and the motion to

strike is DENIED.

ORDERS

1) Defendant

Loan Funder LLC’s Demurrer to Plaintiff Regal LNC, Inc.’s First Amended

Complaint is OVERRULED.

2) Defendant

Loan Funder LLC’s Motion to Strike Plaintiff Regal LNC, Inc.’s First Amended

Complaint, or in the Alternative, Strike Thereof is DENIED.

3) Funder

is ordered to provide notice of this Court’s ruling.

IT

IS SO ORDERED.

DATED: June 24, 2026

Tamara

Hall

Judge

of the Superior Court